Document 5: Investment Incentives and Tax Treatment

This document explains the kinds of incentives available to investors in Uganda and where to find the official detail. Tax rules change often, so always confirm figures against the latest guide from the Uganda Revenue Authority (URA) before making decisions.

Types of Incentives: Both tax incentives and non-tax incentives are available to foreign and local investors. Local investors can access the tax incentives with a lower minimum capital requirement. Both groups can equally access non-tax incentives such as land in industrial parks, facilitation for infrastructure needs and policy advocacy for a conducive business environment (see Document 6 for land and parks).

The Official Guide: URA publishes a Tax Incentives Guide for Investors in Uganda that consolidates incentives under International Trade (Customs) and Domestic Taxes. It is updated annually in line with Government fiscal policy and is available at the UIA One-Stop Centre. UIA's Download Centre lists a Tax Incentive Guide 2024-25 (see Document 7).

Examples of Incentives: According to a PwC tax summary last reviewed in February 2025, examples include:

- A ten-year tax holiday for exporters who export at least 80% of their produce of finished goods, subject to conditions.
- Exemption from customs duty on the importation of plant and machinery.
- A ten-year income tax exemption for developers and operators in an industrial park or free zone.
- A deduction of 2% of income tax payable for employers who show that at least 5% of their full-time employees are persons with disabilities.
- Under the 2024 Income Tax Amendment Act, exemption of income of private equity or venture capital funds regulated under the Capital Markets Authority Act, and of income earned by strategic investors manufacturing electric vehicles, batteries, charging equipment and electric vehicle bodies.

Industrial Park Income Tax Exemption Thresholds: At a UIA investors' meeting at Namanve Industrial Park in 2025, a URA representative stated that foreign investors operating in industrial parks qualify with an investment of USD 10 million, Ugandan investors within a 50 km radius of Kampala qualify with USD 300,000, and Ugandan investors outside that radius qualify with USD 150,000. The exemption application window that year ran from 1 April to 31 May 2025. These figures and dates were quoted for 2025 and may have changed, so verify them with URA.

How Incentives Connect to Licensing: To benefit from investment-related incentives, an investor generally needs to hold a UIA investment licence (see Document 2). Incentives are reviewed by the relevant URA committees and are not automatic.

Superseded Guides: Earlier editions, such as the 2020-21 tax incentive guide and the 6th edition of UIA's guide to incentives (July 2022), are outdated. See Document 8.

This document is general information, not tax advice. For your own situation, consult URA, UIA's One-Stop Centre or a qualified tax adviser.

Sources: URA Tax Incentives Guide for Investors (thetaxman.ura.go.ug/?p=3091); PwC Worldwide Tax Summaries: Uganda, Tax credits and incentives (reviewed 10 February 2025); URA article on Namanve investors (thetaxman.ura.go.ug/?p=7856); UIA Download Centre. Last verified: 21 October 2026.